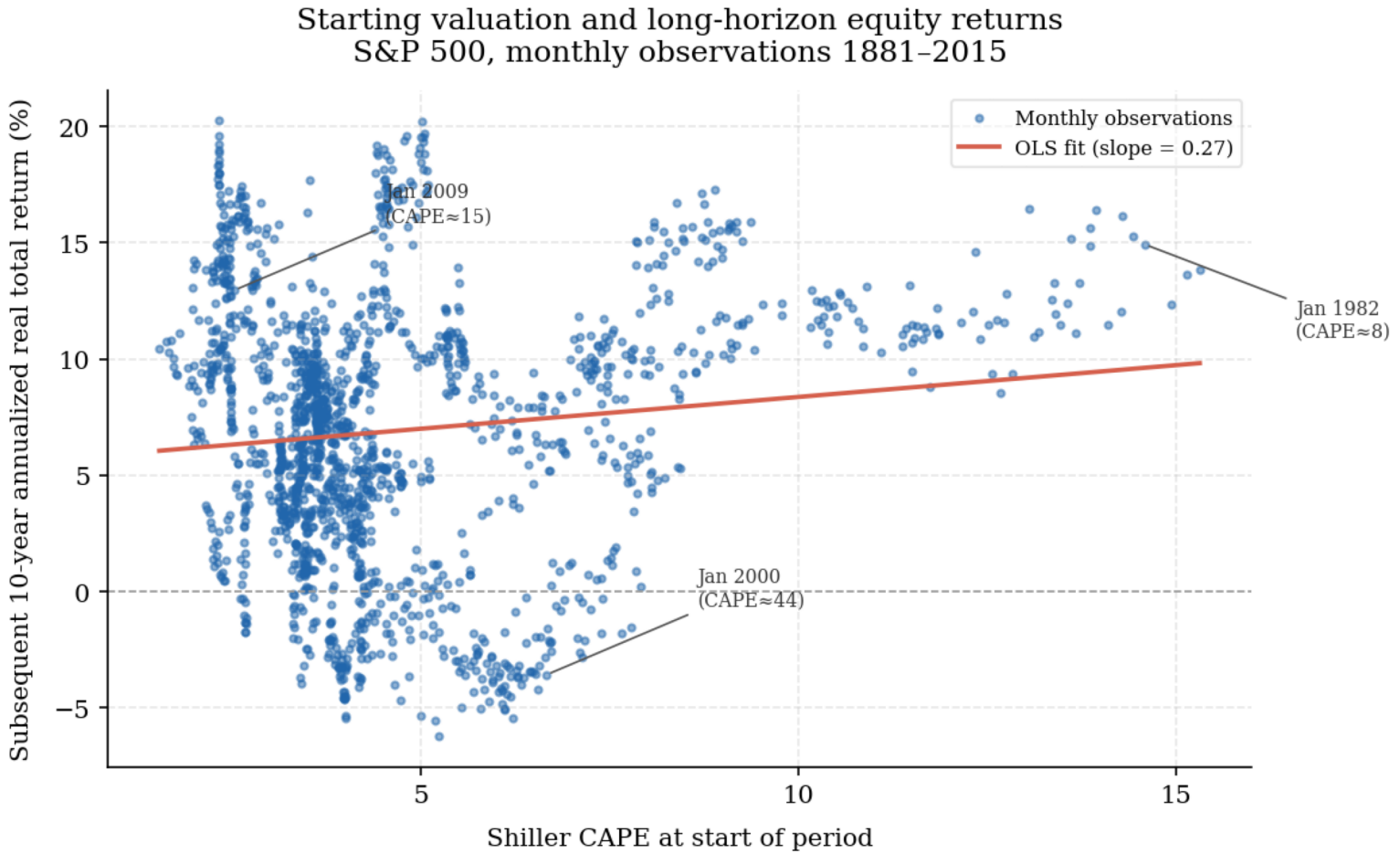
Starting valuation and long-horizon equity returns
S&P 500, monthly observations 1881–2015
Monthly observations
OLS fit (slope = 0.27)
Jan 2009
(CAPE≈15)
Jan 1982
(CAPE≈8)
Jan 2000
(CAPE≈44)
Subsequent 10-year annualized real total return (%)
Shiller CAPE at start of period
20
15
10
5
0
−5
5
10
15